

Gujarat Energy Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: GUJGASLTD / GUJENERGY · formerly Gujarat Gas Ltd · Report prepared 20 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

What the company does: Gujarat Energy is the Gujarat government's merged gas company. It buys natural gas — mostly imported frozen as a liquid — then (a) resells it wholesale to fertiliser plants, power stations and other gas retailers, and (b) pipes it to factories, homes, shops and vehicle filling stations across six states and one union territory. The piped-retail arm is India's largest. On 1 May 2026 the state's gas trading arm was merged into it and the company was renamed.

Reading the units and the jargon. **mmscmd** = million metric standard cubic metres per day — a flow rate: how much gas moves through the system every day. **scm** = one standard cubic metre, the unit a customer is billed in; margins are quoted in rupees earned per scm. **City gas distribution (CGD)** = the local pipeline retail business. **CNG** = compressed natural gas, the vehicle fuel at filling stations. **PNG** = piped natural gas to a home, shop or factory. **LNG** = natural gas frozen for shipping. **Propane** = the rival industrial fuel, shipped and trucked as a liquid; the direct competitor to piped gas in Morbi. **MTPA** = million tonnes a year. **Plant load factor** = how much of the time a power plant runs.

Number	What it means in plain words
Market cap ₹25,088 cr · price ₹267 (1-yr range ₹392–261)	The stock is sitting within ₹6 of its 52-week low even after a quarter that showed 78% profit growth. The market has looked at this quarter and decided not to pay for it.
Book value ₹269 · P/E 11.9	Priced at almost exactly one times its own net asset value. That is what a utility gets when investors think the earnings are borrowed from a crisis, not earned.
FY26 sales ₹23,388 cr (FY25 shown as ₹16,487 cr, "+42%")	That +42% is merger arithmetic, not growth. FY26 includes the merged trading business; the FY25 figure on the screen does not. Ignore it.
FY26 net profit ₹2,299 cr vs restated FY25 ₹2,308 cr	Management's own like-for-like number. Profit for the full year was flat — fractionally down. The "+101% profit growth" on the screener is a comparison of two different companies.
FY26 EBITDA ₹3,772 cr vs restated FY25 ₹3,241 cr; margin 13%	Operating profit did grow 16% like-for-like (and FY25 restated still contained a transmission business since carved out, so the true gain is larger). The 13% margin is normal: this is a fuel reseller earning a few rupees per unit.
Return on capital employed 23.4%	Genuinely good. The pipes and stations are already built and largely paid for, so each rupee of capital carries a lot of earnings.
Dividend ₹8.90/share, ₹835 cr paid, yield 2.18%	A real cash return, set by Gujarat government payout rules rather than by the board's view of reinvestment need.
Cash ₹7,200 cr vs gross fixed assets ₹12,000 cr; annual capex plan only ₹1,000 cr	The company is sitting on cash worth 29% of its own market value with no announced use for it. A plan is promised "by Q3". Idle cash is why the return on capital, good as it is, is not better.

Data caution: the screener's four FY26 quarters add up to ₹18,933 cr of sales against its own FY26 annual figure of ₹23,388 cr. Some quarters are restated for the merger and some are not, so quarter-on-quarter comparisons taken off that table mix two different companies. Every comparison in this report is taken from what management itself stated on the calls.

2 Concall coverage

Call	Date	Transcript read?
Q1 FY27 (Jun 2026 quarter)	12 Aug 2026	Yes — read in full, prepared remarks and all Q&A
Q4 & FY26 (the merger-explainer call)	1 Jun 2026	Yes — read in full

Q3 FY26 · Q2 FY26	21 Jan 2026 · 12 Nov 2025	Yes, both
Q1 FY26 (last standalone quarter)	6 Aug 2025	Yes — read in full
Q4 FY25 · Q3 FY25 · Q2 FY25	21 May 2025 · 7 Feb 2025 · 7 Nov 2024	Yes, all three
Scheme-of-arrangement call (merger announced and justified)	31 Aug 2024	Yes
Q1 FY25, and Q1–Q4 FY24 (five calls)	Aug 2023 – Aug 2024	Yes — used for the longer-run volume history

Screener lists 16 calls; **14 transcripts were available and all 14 were read**. Q1 FY27 is covered in full. The two missing items are older calls with no transcript on file and affect none of the conclusions below.

Latest concall highlights — Q1 FY27 (call Aug 2026)

- **The quarterly growth is real; the annual growth is not.** Revenue ₹9,670 cr (+63%), EBITDA ₹1,482 cr (+65%), profit ₹998 cr (+78%). These are measured against a *restated* merged base of ₹5,924 cr / ₹896 cr / ₹561 cr — not against the ₹4,065 cr / ₹579 cr / ₹327 cr that old Gujarat Gas actually reported for the same quarter a year ago. So the quarter is a genuine like-for-like beat. The *annual* "+42% sales, +101% profit" headline is pure merger accounting: management's own restated FY25 profit was ₹2,308 cr against FY26's ₹2,299 cr, i.e. flat.
- **Almost all of the growth came from the wholesale trading desk, not the pipelines.** Gas trading segment pre-tax profit was ₹726 cr against ₹237 cr (+206%) — that single segment supplied roughly 83% of the ₹586 cr rise in group EBITDA. The city gas business sold 39% more gas (8.88 to 12.34 mmcmd) and grew its segment EBITDA just 7% (₹544 cr to about ₹582 cr). The extra volume was close to margin-free.
- **The Morbi surge is already over — management said so on the call.** Morbi averaged 5.67 mmcmd (+181% on Q4), rising from 0.4 mmcmd in April to about 8 mmcmd across May–June, because a Middle East conflict cut off propane. Asked about the current run rate, management answered plainly: **post-July they are back to about 3 mmcmd**, with 5.3–5.4 mmcmd of equivalent demand now met by propane again from the USA and Venezuela. Gas costs the ceramic maker **₹78/scm against propane's ₹65/scm** — gas is 20% more expensive.
- **Per-unit margin missed guidance for the first time.** City gas EBITDA came in at ₹5.18/scm against management's own ₹5.5–6.5 range, which they reaffirmed anyway. The dilution is arithmetic — a flood of near-zero-margin Morbi volume in the denominator. Note also that the trading segment now charges the city gas segment a mark-up on the 8.9 mmcmd it transfers internally, so the reported city gas margin is not comparable with pre-merger quarters. Asked directly about this, management did not quantify it.
- **The genuinely durable lines did well.** CNG volume 3.76 vs 3.33 mmcmd (+13%), a record, from 844 stations. Piped cooking-gas connections had their **best quarter ever at ~59,000 additions** (up from 43,000 in Q4), taking the base to 24.77 lakh households; ~91,000 were added January–June 2026, helped by a government drive to replace cylinder gas after the same Middle East conflict squeezed cylinder supply.
- **Management's own FY27 guidance implies a steep fall from here.** They reaffirmed full-year trading profit of **₹1,100–1,200 cr** after booking ₹726 cr in Q1 alone. That leaves ₹375–475 cr for the remaining nine months — roughly ₹125–160 cr a quarter against ₹726 cr just delivered, and below FY26's ₹1,335 cr for the same segment. Separately: ₹7,200 cr of cash with a deployment plan promised only "by Q3", ₹1,900 cr of unabsorbed tax losses still to shelter profit, a ~₹900 cr tax refund expected in about a year, and the demerged pipeline company GTL still not listed after a July deadline was missed.

2c Business mix & capacity

Q1 FY27 volumes, in mmcmd (millions of cubic metres of gas moved every day). Company total **15.66** = city gas 12.34 + wholesale sales to outside customers 3.32.

City gas distribution — 12.34 total

- **Industrial (factories) 7.17** (58% of city gas) — of which **Morbi ceramic belt 5.67** and **everywhere else 2.04**. The Morbi number was ~3.0 by the time of the call.
- **CNG (vehicle fuel) 3.76** (30%) — +13% year on year, the highest ever.

- **Domestic PNG (household cooking) ~1.24** (10%) — *derived; the company does not disclose this line separately*. 24.77 lakh households connected.

- **Commercial PNG (shops, hotels, hospitals) 0.17** (1.4%) — 16,600 connected customers.

Wholesale gas trading — 12.22 sold, of which 8.9 goes to its own city gas arm. The 3.32 sold outside splits as fertiliser 1.6, other gas retailers 0.5, other industry 0.5, chemicals 0.24, steel 0.20, power 0.20 — down from ~5.0 a year ago as crisis pricing and lost Middle East cargoes killed demand; management expects 4.5–5.0 back only in FY28–29.

Infrastructure: 844 CNG stations (6 added, 9 upgraded this quarter); ~45,900 km of pipeline; 27 licence areas, six states and one union territory; gross fixed assets ~₹12,000 cr; Q1 capex ₹127 cr against a ₹1,000 cr full-year plan. CNG vehicle base 17.68 lakh, +15%.

Utilisation: **not disclosed for the city gas network** — no throughput-per-station or pipeline-loading figure is given, and management declines to break out segment margins by customer type. What is disclosed is damning for the non-core assets: the two gas-fired power plants ran at **1% and 6.5% plant load factor** — essentially idle — and the group's Mundra import terminal at 17% of capacity in FY26 (now 35–38%). Of 833 stations in Dec 2025, about 415 (50%) were the higher-throughput "online" type; upgrading the rest is where CNG growth actually comes from.

Earning-trigger thesis

There is a durable earning trigger here, but it is **not the one that produced the Q1 FY27 headline**. Strip out the two crisis effects — the wholesale trading windfall and the temporary Morbi switch away from propane — and what remains is a slow, annuity-like machine: vehicle-fuel volume compounding at 12–13% a year off an upgraded station base, household connections now adding ~59,000 a quarter under a government mandate to replace cylinder gas, and a newly merged wholesale sourcing arm that gives the retail business scale and access to long-term import contracts it could not sign alone. That is a real, if unexciting, engine. Against it sit two things that are not triggers at all: the Morbi ceramic cluster, which is a pure price arbitrage that has already flipped back to propane within weeks, and the non-Morbi industrial book, which has been frozen at ~2.1 mmscmd for three straight years and actually *shrank* this quarter. The structural fix for both — cheap long-term imported gas that can beat propane year-round — is contracted but does not start flowing until 2028.

Trigger	What management said	Evidence so far	Horizon	Strength
Vehicle fuel (CNG) volume — durable	"We'll be able to sustain that [12–13%] growth for the next couple of years"; 75+ new stations and ~70 upgrades in FY27; cross 1,000 stations in 2–3 years	Volume delivered: 2.62 → 2.93 → 3.12 → 3.33 → 3.60 → 3.76 mmscmd. Growth is coming from <i>upgrading</i> stations, not building them — the count moved only 820→844 in seven quarters. Gas is 46% cheaper than petrol.	Now, continuing	Strong
Household piped gas — durable	Government mandate to switch homes and shops off cylinders; additions "expected to remain robust" as new areas mature	Quarterly additions 35k → 27k → 39k → 43k → 59k . Base 24.77 lakh homes. Sticky: once a kitchen is piped it does not switch back. Small in volume (~1.24 mmscmd) but the highest-margin gas sold.	Now, 3–5 yrs	Strong
Merged wholesale trading arm — durable platform, volatile earnings	"Singularity the most value-accretive aspect of the merger"; targets a 4–5% margin; FY27 profit ₹1,100–1,200 cr	Q1 delivered ₹726 cr on a crisis, but their own full-year guidance implies only ₹375–475 cr over the next nine months. FY26 ₹1,335 cr. Volumes fell 19% in FY26. Real business, but the earnings are a commodity spread, not an annuity.	Now, but lumpy	Medium
Long-term import contracts — the structural fix	2.96 MTPA contracted (Qatar, Uniper, Total); 2 more deals being negotiated; 4 MTPA by 2030; "we are trying to source our gas starting 2028"	Nothing yet in the numbers. Only 20% of gas is on term contract today, 67% is bought at spot prices. This is precisely why it loses to propane. Timeline has already slipped once because of the Iran conflict.	FY29–FY31	Medium

₹7,200 cr idle cash	McKinsey engaged; "concrete plan by Q3"; own propane import terminal near Morbi under study	Unproven. Nothing announced. Capex has consistently been <i>under-spent</i> , not over. The propane terminal is smart — it lets the company keep the Morbi customer even when gas loses — but is still at pre-feasibility stage with spending "in the next two years".	FY28+	Medium
Morbi ceramic volume — the volatile one	Q4 FY26 call: Morbi already at 8 mmscmd with headroom to 8.8–8.9; propane supply "expected to remain impacted over the short to medium term"	Reversed inside one quarter. 8 mmscmd in May–June → ~3.0 by July as US and Venezuelan propane arrived. Gas ₹78/scm vs propane ₹65/scm. Management's own floor: 1.8–2.0 mmscmd, held only by small units with no space to install propane tanks. Contracts are month-to-month.	Reverses in weeks	Weak
Industrial volume outside Morbi	2.2 → "at least 3 mmscmd in 1.5 to 2 years"; 86 new factories connected in Q1; pipeline reaching Ahmedabad rural, Thane, Dahej, Kutch, DNH	2.05, 2.10, 2.16, 2.20, 2.22, 2.25, 2.17, 2.04 — eight quarters, no progress, and down 7% year on year. Management has promised growth here on every call since 2024 and has never delivered it.	FY28 at best	Weak

4 Management consistency scorecard

Period	Promised	What happened	Verdict
Aug 2024 (scheme call)	Merger would be roughly 50% EPS-accretive from day one	Restated FY25 earnings on the merged share base work out near ₹24.8/share against old Gujarat Gas's ₹16.64 — about +49%. Delivered essentially as stated.	Yes
Nov 2024 (Q2 FY25)	Morbi volume heading to 3.5–4.0 mmscmd ; group volume growth 5–7% a year	Morbi peaked at 3.35 the very next quarter and then fell for five straight quarters to 1.66. Never reached 3.5.	No
Feb 2025 (Q3 FY25)	Morbi "around 3 mmscmd going forward", 2.75–3.0	Q4 FY25 came in at 2.87 — met. Then decayed immediately. Right for one quarter, wrong on the trend.	Partly
May 2025 (Q4 FY25)	~70 new CNG stations in FY26 ; "at least 60 already under construction"; FY26 capex ₹800–1,000 cr	Station count went 828 → 839 across the whole year: 11 net additions against 70 promised . Capex was ₹408 cr at nine months and the guidance was quietly cut to ₹700 cr mid-year.	No
Aug 2025 (Q1 FY26)	"Before this December we will be able to add at least a double-digit number of CNG stations"	Q2 added 4. Q3 lost one (834 → 833). Zero chance it was ever going to be double digits.	No
Nov 2025 (Q2 FY26)	"Expecting at least 2 mmscmd in the Morbi market"	Q3 FY26 came in at 1.66 mmscmd, 17% below the floor they had just set.	No
Jan 2026 (Q3 FY26)	Morbi 3.0–3.2 mmscmd in Q4 after a ₹4.50/scm price cut; "more than 10 CNG stations this quarter"	Morbi delivered 2.02 — a third below guidance despite giving away ₹4.50 a unit. Stations: 6 added.	No
Jun 2026 (Q4 FY26)	Morbi running at ~8 mmscmd with headroom to 8.8–8.9 ; propane supply "expected to remain impacted over the short to medium term"	Two months later, on the very next call, Morbi was at ~3.0 . "Short to medium term" turned out to be about eight weeks. Also promised GTL listing "by end of July 2026" — still unlisted, now "early September".	No

FY25–FY26 (repeated)	City gas margin ₹4.5–5.5/scm , reaffirmed on four consecutive calls	Actual: ₹6.86, 6.25, 7.17, 6.54, 6.50; FY26 full year ₹6.16. Beaten every single quarter — a sandbagged number they refused to raise until Q3 FY26.	Yes
Jan–Aug 2026	Raised guidance to ₹5.5–6.5/scm and reaffirmed it in Aug 2026	Q1 FY27 came in at ₹5.18 — the first miss in two years. Reaffirmed the range anyway without explaining how it gets back inside it.	No

Narrative drift. The direction of travel is unmistakable and it is away from making forecasts. Through FY25 this was "India's largest city gas distribution company" with a 5–7% annual volume growth guide, a station-building programme and a stated plan to win Morbi's volume back from propane. From the May 2025 call onward **management stopped giving volume guidance altogether** — an analyst noted it explicitly on that call — and has deflected the question on every call since ("we'll be in a better position to give guidance by March, April"; "by Q2 we'll be in a better position"). Fifteen months on there is still none. The Morbi story then travelled a revealing arc: *we will win the volume back with price* (2024–25, including a ₹4.50/scm cut that failed) → *we will sell propane ourselves so we keep the customer either way* (board approval Aug 2025) → *we will build our own propane import terminal next to Morbi* (Aug 2026). That is management conceding, in stages, that it cannot win the fuel-price war on gas alone. Meanwhile the identity broadened from city gas retailer to "integrated energy company" spanning trading, exploration, renewables and two near-idle power plants, with McKinsey hired in June 2026 to decide what to do with ₹7,200 cr of cash. Widening the story while core industrial volume sits flat for three years is a familiar signal. The credit due, though: this management does not spin. On its best quarter in years it volunteered that Morbi had already collapsed back to 3 mmcmd and that its gas was 20% dearer than propane. Very few managements hand you the bear case on results day. Bad at forecasting, honest about the outcome — the opposite of the usual failure mode.

5 Bottom line

Earning trigger: **PARTLY — and not the one in the headline.**

The +78% profit quarter does not repeat, and management has effectively said so itself. Two crisis effects produced it: a wholesale trading windfall worth ₹726 cr of pre-tax profit against ₹237 cr a year earlier, and a Morbi ceramic cluster that panic-switched from propane to gas when Middle East supply was cut. The first is guided down to ₹125–160 cr a quarter for the rest of FY27 by management's own reaffirmed ₹1,100–1,200 cr full-year number. The second was already gone by the time the call happened — back to ~3 mmcmd from 8, with gas at ₹78/scm against propane at ₹65/scm. The tell: the city gas business sold **39% more gas and grew its own segment profit only 7%** — that volume carried almost no margin. What is durable is smaller and slower: vehicle fuel compounding at 12–13% off a station base being upgraded rather than expanded, household connections at a record ~59,000 a quarter under a government cylinder-replacement push, and a merged sourcing arm that can finally sign the long-term import contracts (2.96 MTPA today, 4 MTPA targeted by 2030) which are the only real answer to propane — and those start delivering in 2028, not now. Against that, the non-Morbi industrial book has not grown in eight quarters and shrank 7% in this one. This is worth owning for the annuity and the ₹7,200 cr of cash, not for the quarter.

Management consistency: **NO — consistently wrong on volumes, consistently honest afterwards.**

Every forward volume or infrastructure number this management has put on the record since November 2024 has been missed, most of them badly: Morbi at 3.5–4.0 (peaked 3.35, fell to 1.66); ~70 new CNG stations in FY26 (delivered 11); "double-digit station additions before December" (delivered 4, then lost one); "at least 2 mmcmd in Morbi" (delivered 1.66); Morbi 3.0–3.2 in Q4 FY26 after giving away ₹4.50/scm (delivered 2.02); Morbi at 8 with headroom to 8.9, on 1 June 2026 (at ~3.0 by 12 August 2026); the pipeline company listed by end-July (still unlisted). Rather than correct the miss rate, management withdrew from forecasting altogether — volume guidance has been absent for fifteen months and is deflected every time it is asked for. The one number they consistently beat, city gas margin of ₹4.5–5.5/scm, they beat because it was set deliberately low; the moment they raised it to ₹5.5–6.5 they missed it, and reaffirmed it anyway. Two things keep this a verdict on competence rather than integrity: the merger delivered the ~50% earnings accretion it promised, and disclosure quality is genuinely high — they volunteer bad news, quote exact competing fuel prices, and name the floor of their own worst case (1.8–2.0 mmcmd in Morbi, held only by units with nowhere to put a propane tank). Trust the numbers they report; do not underwrite the numbers they forecast.